

Joaquin Gaeta, et al. v. FCA US LLC, et al., 25CV-0432

Hearing: Demurrer and Motion to Strike

Date: August 26, 2026

Joaquin Gaeta and Donna Gaeta (Plaintiffs) filed this action on June 27, 2025, against FCA US LLC (Defendant) and Cole Chrysler Dodge Jeep Ram Fiat alleging violations of the Song-Beverly Consumer Warranty Act, Civil Code sections 1790 et seq. (Lemon Law) and negligent repair in relation to their purchase of a 2022 Ram 1500 Laramie, VIN: 1C6SRFJMXNN154283 (Subject Vehicle) on January 3, 2022. (FAC, ¶ 7.) Plaintiffs filed a First Amended Complaint (FAC) alleging various statutory breach of warranty claims and a cause of action for fraudulent concealment against Defendant.

Defendant demurs to the Third Cause of Action for Violation of Civil Code section 1793.2(a)(3) on the ground that it fails to set forth facts sufficient to constitute a cause of action against FCA US LLC because Plaintiffs fail to allege facts sufficient to support an additional and distinct claim for relief.

Defendant demurs to the Sixth Cause of Action for Fraudulent Inducement – Concealment on the grounds that it fails to set forth facts sufficient to constitute a cause of action against FCA US LLC because (a) the claim is untimely under the applicable statute of limitations (see Code Civ. Proc., § 338, subd. (d)); and (b) Plaintiffs fail to allege facts sufficient to meet the heightened pleading standard for fraud.

Plaintiffs oppose the motion arguing that the FAC sufficiently alleges tolling of the statute of limitations and states sufficient facts constituting the Third and Sixth Causes of Action.

Defendants also seek to strike Plaintiffs' claim for punitive damages from the FAC, and Plaintiffs oppose that motion.

I. LEGAL STANDARD

A demurrer challenges only the defects that appear on the face of the pleading under attack, or from matters outside the pleading which are subject to judicial notice.¹ (Code Civ. Proc., 430.30(a), *Lewis v. Safeway* (2015) 235 Cal.App.4th 385, 388 [demurrer tests the legal sufficiency of the allegations of the complaint].) “To survive demurrer, the complaint need only allege facts sufficient to state cause of action; each evidentiary fact that might eventually form part of the plaintiff's proof need not be alleged.” (*C.A. v. William S. Hart Union High School Dist.* (2012) 53

¹ Defendant seeks judicial notice of complaints similar to the FAC in this case that were filed by Plaintiffs' legal counsel in other state courts. Defendant argues this shows the FAC is not pled with specificity. The Court disagrees and finds that the filing of similar complaints in other courts is not relevant to whether the allegations of the FAC are sufficient. The request for judicial notice is denied.

Cal.4th 861, 872.) When reviewing a demurrer the court must draw all reasonable inferences in favor of the plaintiff. (*Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1239.) “The facts alleged in the pleading are deemed to be true, however improbable they may be.” (*Berg & Berg Enterprises, LLC v. Boyle* (2009) 178 Cal.App.4th 1020, 1034.) “[T]he question of plaintiff’s ability to prove [the] allegations, or the possible difficulty in making such proof does not concern the [] court.” (*Alcorn v. Ambro Engineering, Inc.* (1970) Cal.3d 493, 496.)

Code of Civil Procedure section 436 permits a court to strike: (1) “any irrelevant, false, or improper matter inserted in any pleading”; and (2) “all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.” As with demurrers, the grounds for a motion to strike must “appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice.” (Code Civ. Proc., § 437.) “In ruling on a motion to strike, the allegations in the complaint are considered in context and presumed to be true.” (Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2025) ¶ 7:197.5.)

II. DEMURRER TO THIRD CAUSE OF ACTION FOR VIOLATION OF CIVIL CODE SECTION 1793.2(a)(3)

Defendant contends that “in cases where statutory remedies are invoked, ‘[f]acts, not conclusions, must be pleaded,’ and the facts ‘must be pleaded with particularity.’ (*Carter v. Prime Healthcare Paradise Valley LLC* (2011) 198 Cal.App.4th 396, 410, citing *Zumbrun v. University of Southern California* (1972) 25 Cal.App.3d 1, 8.)” Neither case cited by Defendant stands for the general proposition that statute-based claims have a heightened pleading standard.

“A decision is authority only for the point actually passed on by the court and directly involved in the case. General expressions in opinions that go beyond the facts of the case will not necessarily control the outcome in a subsequent suit involving different facts. [Citations.]” (*Dey v. Continental Central Credit* (2008) 170 Cal.App.4th 721, 728.)

Carter v. Prime Healthcare Paradise Valley LLC, *supra*, is distinguishable because it involved alleged violations of the Elder Abuse and Dependent Adult Civil Protection Act (Welf. & Inst. Code, § 15600 et seq.) (Elder Abuse Act), which requires a plaintiff seeking enhanced damages to prove by clear and convincing evidence that the defendant is guilty of recklessness, oppression, fraud, or malice in the commission of statutorily defined “neglect.” *Zumbrun v. University of Southern California*, *supra*, merely states that facts rather than conclusions must be pled and did not involve a statutory claim. It does not hold that statutory claims have a heightened pleading standard.

Further, the existence of a general heightened pleading standard for statutory claims is belied by numerous opinions that identify particular statutory claims requiring heightened pleading. (See, e.g., *Khoury v. Maly's of California, Inc.* (1993) 14 Cal.App.4th 612, 619 [unfair business practices claims must state with reasonable particularity the facts supporting the statutory elements of the violation]; *Brenner v. City of El Cajon* (2003) 113 Cal.App.4th 434, 439 [“limited and statutory

nature of governmental liability mandates that claims against public entities be specifically pleaded]; *State ex rel. Edelweiss Fund, LLC v. JPMorgan Chase & Co.* (2023) 90 Cal. App. 5th 1119, 1144 [conspiracy claim under California False Claims Act is subject to heightened standard of pleading with particularity].) Defendant cites no case for the proposition that Lemon Law claims be pled with a heightened standard of particularity.

Defendant also argues the Third Cause of Action fails to allege any damages that are distinct from the other three causes of action for violations of the Song-Beverly Consumer Warranty Act. (Motion, p. 10, ln. 25-p. 11, ln. 9.) The fact that a claim does not seek distinct damages is not a basis for demurrer. It is proper to plead alternative theories of relief on the same set of facts that seek the same damages, although a plaintiff is not entitled to double recovery. (*Riverside County Transportation Com. v. Southern California Gas Co.* (2020) 54 Cal.App.5th 823, 840; *Tavaglione v. Billings* (1993) 4 Cal.4th 1150, 1158.)

In the cases cited by Defendant, courts sustained demurrers to claims already asserted in another cause of action. They did not sustain demurrers to different causes of action seeking the same damages. Here, the Third Cause of Action is based on a failure to provide parts or literature to repair facilities. Defendant identifies no other such claim alleged in the FAC.

III. DEMURRERS TO SIXTH CAUSE OF ACTION FOR FRAUDULENT CONCEALMENT

A. Statute of Limitations

Section 338(d) provides a three-year statute of limitations for “[a]n action for relief on the ground of fraud or mistake. The cause of action ... is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake.”

Defendant argues that the limitations period ended on January 3, 2025, exactly three years after Plaintiffs purchased the vehicle. Defendant contends the FAC fails to allege facts showing delayed discovery. (Demurrer, p. 12, ln. 7-p. 13, ln. 13.) To the contrary, Plaintiffs make the following allegations:

37. While it has been fully aware of the EGR Defect, FCA actively concealed the existence and nature of the alleged defect from Plaintiffs at the time of purchase, repair, and thereafter.

53. Plaintiffs discovered Defendant’s wrongful conduct alleged herein shortly before the filing of the complaint, as the Vehicle continued to exhibit symptoms of defects following FCA’s unsuccessful attempts to repair them. However, FCA failed to provide restitution pursuant to the Song-Beverly Consumer Warranty Act.

54. Making it even more difficult to discover that the Subject Vehicle suffered from a safety defect was Defendant's issuance of various TSBs and Recalls purporting to be able to fix various symptoms of the defects.

55. As a result of the foregoing, Plaintiffs did not become suspicious of Defendant's concealment of the latent defects and its inability to repair it until shortly before the filing of the complaint, when the issue persisted following Defendant's representations that the Vehicle was repaired and/or working as designed.

56. Plaintiffs always acted diligently in presenting the Subject Vehicle for repairs and following the directives of Defendant's authorized repair personnel.

57. Defendant was under a continuous duty to disclose to Plaintiffs the true character, quality, and nature of the Defendant Vehicles suffering from the Defects, and the inevitable repairs, costs, time, and monetary damage resulting from the Defects. Due in part to Defendant's failure to do so, Plaintiff was unable to discover Defendant's wrongful conduct alleged herein until the issues persisted following Defendant's attempts to conform the Vehicle to its warranties.

58. Plaintiff discovered Defendant's wrongful conduct alleged herein when Plaintiff continued to experience symptoms of the Vehicle's defects after Defendant's unsuccessful attempts to repair it and or representations the Vehicle was working as designed.

59. Plaintiff incorporates herein the portions of Plaintiff's repair history set forth above, by reference.

(FAC, ¶¶ 37, 53-59.)

Plaintiffs also allege the statute of limitations was tolled during periods when Defendant undertook to perform various repair measures. (FAC, ¶¶ 61-63.) It is not apparent from the face of the FAC that such repair periods were insufficient to toll the limitations period to the date Plaintiff filed this action.

B. Specificity of Fraud Allegations

Defendant contends that the elements of fraudulent concealment are not pled with sufficient specificity. The elements of a fraudulent concealment cause of action are: (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 49 (*Rattagan*).)

In *Rattagan, supra*, the California Supreme Court emphasized that “California courts apply the same specificity standard to evaluate the factual underpinnings of a fraudulent concealment claim at the pleading stage, even though the focus of the inquiry shifts to the unique elements of the claim.” (*Id.* at p. 43.) The *Rattagan* court stated that a fraudulent concealment claim must include “specific allegations”, including “(1) the content of the omitted facts, (2) defendant’s awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant’s omission.” (*Id.* at pp. 43-44.) “[M]ere conclusionary allegations that the omissions were intentional and for the purpose of defrauding and deceiving plaintiff[] ... are insufficient for the foregoing purposes.” (*Ibid.* [citing *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 347].)

The allegations in the FAC satisfy the *Rattagan* pleading requirements as follows:

Content of omitted facts: “FCA committed fraud by allowing the Subject Vehicle to be sold to Plaintiffs without disclosing that the Subject Vehicle and its EGR cooler were defective which may result in thermal fatigue, leading the coolers to crack over time and leak coolant, which can cause combustion within the intake manifold and lead to a vehicle fire and sudden loss of power.” (FAC, ¶ 94.)

Defendant’s awareness of the materiality of those facts and inaccessibility of the facts to Plaintiffs: “FCA had superior and exclusive knowledge of the EGR Defect and knew or should have known that the defect was not known to or reasonably discoverable by Plaintiffs and before they purchased or leased the Subject Vehicle.” “Defendant knew or should have known, based on FCA’s routine monitoring of complaints, that the 2022 Ram 1500 vehicles have a dangerous defect that adversely affects their drivability. Additionally, FCA knew or should have known about the EGR Defect through sources not available to consumers, including FCA’s own aggregate pre-market data and other aggregate post-market data from FCA authorized dealers.” (FAC, ¶¶ 34, 35.)

“While it has been fully aware of the EGR Defect, FCA actively concealed the existence and nature of the alleged defect from Plaintiffs at the time of purchase, repair, and thereafter.” “FCA was inundated with complaints regarding the EGR Defect but rather than repair the problem under warranty, FCA dealers either inform consumers that their vehicles are functioning properly or conduct repairs that merely mask the defect.” (FAC, ¶¶ 37-38.)

“Plaintiffs allege that prior to the sale of the Subject Vehicle to Plaintiffs, FCA knew that the Vehicle and its EGR cooler suffered from an inherent defect, was defective, would fail prematurely, and was not suitable for its intended use.” (FAC, ¶ 95.)

“Plaintiffs are informed, believe, and thereon allege that FCA acquired its knowledge of the EGR Defect and its potential consequences prior to Plaintiffs acquiring the Vehicle, through sources not available to consumers such as Plaintiffs, including but not limited to pre-production testing data, early consumer complaints about the EGR Defect made directly to FCA and its network of dealers,

aggregate warranty data compiled from FCA's network of dealers, testing conducted by FCA in response to these complaints, as well as warranty repair and part replacements data received by FCA from FCA's network of dealers, amongst other sources of internal information.” “FCA was in a superior position from various internal sources to know (or should have known) the true state of facts about the material defects contained in vehicles equipped with the EGR cooler.” “Plaintiffs could not reasonably have been expected to learn or discover of the Vehicle’s EGR Defect and its potential consequences until well after Plaintiffs purchased the Vehicle.” (FAC, ¶ 96.)

General point at which the omitted facts should or could have been revealed: In addition to the above-cited allegations, Plaintiffs allege “The facts concealed or not disclosed by FCA to Plaintiffs are material in that a reasonable person would have considered them to be important in deciding whether or not to purchase the Vehicle. Had Plaintiffs known that the Vehicle and its EGR cooler were defective at the time of sale, they would not have purchased the Vehicle. (FAC, ¶ 98.)

Justifiable and actual reliance, either through action or forbearance, based on the defendant’s omission: “Plaintiffs are reasonable consumers who interacted with FCA’s sales representatives and reviewed materials disseminated by FCA concerning FCA Vehicles prior to purchasing the Subject Vehicle. Had Defendant disclosed the EGR Defect, a safety hazard, to its sales representatives and/or the consumer public, Plaintiffs would have been aware of it and would not have purchased the Subject Vehicle.” (FAC, ¶ 99.)

C. Duty to Disclose and Transactional Relationship

“A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff’s fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment). (Civ. Code, § 1710, subd. (3); *Warner Constr. Corp. v. City of Los Angeles* (1970) 2 Cal.3d 285, 294, 85 Cal.Rptr. 444, 466 P.2d 996; *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336, 60 Cal.Rptr.2d 539; see generally, 5 Witkin, Summary of Cal. Law (11th ed. 2023) Torts §§ 913–919.)” (*Rattagan, supra*, 17 Cal.5th at 40.)

Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as ‘between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement.’” (*Rattagan, supra*, 17 Cal.5th at 40 [emphasis added].) The warranty contract between Defendant and Plaintiffs supports a duty to disclose.

Plaintiffs allege they entered a warranty contract with Defendant regarding the Vehicle. (FAC, ¶ 7.) Thus, the parties entered into a contractual agreement which is a basis for a duty to disclose

according to *Rattagan*. Defendant's argument that the fraud arose from the sales transaction misstates the allegations and is unpersuasive.

Defendant cites *Bjoin v. J-M Manufacturing Co., Inc.* (2025) 113 Cal.App.5th 884, and *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, as authority that public advertising and sales are not sufficient to create a duty to disclose. (Motion, p. 18, ln. 18-p. 19, ln. 5.) However, there was no agreement between the consumer and defendant in either case. Here, there is a warranty agreement between Plaintiffs and Defendant; Defendant advertises to consumers; and Defendant presumably profited directly by selling a truck to Plaintiff. The court in *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828 (*Dhital*), rejected the argument that there was no duty to disclose where the plaintiff bought the car from a Nissan dealership that was backed by Nissan's express warranty. (*Id.* at p. 844.)

D. Corporate Ratification of Fraud

Defendant argues "the FAC does not identify a single individual with knowledge that any representations were false and/or who concealed information, or who acted with intent to induce reliance." (Motion, p. 21, lns. 10-12.) However, there are "certain exceptions which mitigate the rigor of the rule requiring specific pleading of fraud. Less specificity is required when 'it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy ... 'less particularity is required when the facts lie more in the knowledge of the opposite party.' " (*Comm. On Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 217, superseded by statute on other grounds in *Branick v. Downey Sav. And Loan Assn.* (2006) 39 Cal.4th 235, 242.)

Here, specific allegations of Defendant's knowledge of an undisclosed defect based on information within Defendant's exclusive knowledge mitigates the rigor of the specific corporate ratification pleading requirement. Defendant is in a better position than Plaintiffs to know how and by whom decisions regarding advertising and disclosures in the sale of Ram 1500 Laramie vehicles were made. The allegations of the FAC clearly allege Defendant had exclusive information that those vehicles had an unrepairable defect when it sold the Subject Vehicle to Plaintiffs. Those allegations are sufficient to allege corporate ratification for purposes of demurrer.

IV. MOTION TO STRIKE PUNITIVE DAMAGES

A complaint is subject to a motion to strike if it fails to allege facts supporting punitive damages. (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 164.) Punitive damages are governed by Civil Code section 3294, which requires "clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice"

The FAC adequately pleads a claim for fraudulent concealment. The Court has reviewed the allegations in the FAC and finds it sufficiently support a claim for punitive damages at the pleading stage.

V. RULING

The demurrers to the Third and Sixth Causes of Action in the FAC are overruled. The motion to strike the allegations regarding punitive damages is denied. Defendant shall have ten days from service of notice of this ruling to file and serve an answer to the FAC. (Cal. Rules of Court, rule 3.1320, subd. (j)(1).) Plaintiffs shall serve notice of this ruling.